then to high-yield bonds, but for all of these bonds, the main effect is the level factor. To understand fixed income investments, therefore, investors have to understand the level factor. The level factor acts like the Fed funds rate, so we need to understand how the Fed sets monetary policy.

2.3. THE TAYLOR (1993) RULE

The current goals of the Fed are outlined in the 1977 Federal Reserve Reform Act. The Fed

> shall maintain long run growth of the monetary and credit aggregates commensurate with the economy's long run potential to increase production, so as to promote effectively the goals of *maximum employment*, *stable prices*, and *moderate long-term interest rates*.

The italics are mine. The last of these three goals gets relatively little attention but, in my opinion, empowers the Fed to take actions that will reduce uncertainty. During the financial crisis, the Fed undertook *extraordinary measures* to stabilize the monetary system and the economy, which certainly reduced volatility. This was done under Section 13(3) of the 1913 Federal Reserve Act, which authorizes the Fed to lend money to anyone "in unusual and exigent circumstances." Prior to the financial crisis, it was last invoked during the Great Depression. The first two considerations of "maximum employment" and "stable prices" are called the *dual mandate*, which some scholars consider a contradiction (a "dueling mandate").[7] Although "low inflation" is not necessarily "stable prices," the stable price mandate has been traditionally interpreted as a low inflation mandate.[8] Many central banks, including the European Central Bank, do not have a mandate for economic growth and only have a mandate for price stability. Since the financial crisis, many central banks, including the Fed, have added a *financial stability* mandate.

We know a great deal but far from everything about the Fed's decision-making process. Minutes of FOMC meetings are made public three weeks later. But detailed transcripts along with other materials, which include detailed internal forecasts, are only available after a five-year lag. Even then, anyone who has served on committees knows that often the actual (often dirty) work happens before the committee meeting between select groups of people, so minutes or transcripts do not necessarily capture what is really going on. While some researchers have used

[7] See, for example, the study of Labonte (2012) done for Congress, which criticizes the dual mandate. De Long and Summers (1988) make a case for the dual mandate.

[8] See Goodfriend (1999). Since January 2012, the Fed considers that "inflation at the rate of 2 percent, as measured by the annual change in the price index for personal consumption expenditures, is most consistent over the longer run with the Federal Reserve's statutory mandate." See http://www.federalreserve.gov/newsevents/press/monetary/20120125c.htm.